BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid &
KeySpan Gas East Corporation d/b/a National Grid

Case 19-G-0309 & 19-G-0310

January 2020

Prepared Supplemental Testimony of:

Staff Efficiency and Sustainability Panel

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Q. Members of the Staff Efficiency and Sustainability Panel (Panel), please state your names.

A. Our names are Robert Cully, Joseph Hitt, Laurie Kokkinides, Kathryn Mammen, Davide Maioriello, and Jennifer Park.

Q. Has the Panel previously sponsored testimony in these proceedings?

A. Yes. We offered pre-filed direct testimony, submitted August 30, 2019.

Q. What is the purpose of the Panel's supplemental testimony?

A. The purpose of our testimony is to update the recommended budgets and targets for the KEDLI and KEDNY energy efficiency portfolios based on the Commission's recent Order Authorizing Utility Energy Efficiency and Building Electrification Portfolios Through 2025, issued on January 16, 2020 in Case 18-M-0084 (January 2020 Energy Efficiency Order). We also address the balances of unexpended Energy Efficiency Portfolio Standard (EEPS) funds, EEPS interest, Energy Efficiency Transition Implementation Plan (ETIP) funds, ETIP interest, and New York State

Energy Research and Development Authority (NYSERDA) Bill-As-You-Go Interest.

Q. Is the Panel sponsoring Exhibits as part of this supplemental testimony?

A. No.

Update to Energy Efficiency

Q. Since the Panel filed its initial testimony, has anything occurred that would change the Panel's recommendations?

A. Yes. On January 16, 2020, the Commission issued the January 2020 Energy Efficiency Order, which formally adopted budgets and targets for the KEDLI and KEDNY energy efficiency portfolios. In addition, the January 2020 Energy Efficiency Order established an additional source of funding to offset the energy efficiency budgets.

Q. How does the January 2020 Energy Efficiency Order change the recommendations regarding the budgets and targets contained in the Panel's initial testimony?

A. Since the Rate Year encompasses the period from April 1, 2020 through March 31, 2021, it reflects three quarters of the Companies' 2020 budgets and targets, and one quarter of the

Companies' 2021 budgets and targets. The Companies' 2020 budgets and targets were previously authorized in the December 2018 Efficiency Order. In our initial testimony, we recommended using the 2021 budgets and targets proposed by the Companies in their May Utility Proposal as placeholders until the Commission acted upon that proposal, which it did in the January 2020 Energy Efficiency Order. The January 2020 Energy Efficiency Order authorized company-specific budgets and targets for calendar years 2021-2025. Therefore, we now recommend that the Rate Year budgets and targets reflect three quarters of the 2020 values adopted in the December 2018 Efficiency Order and one quarter of the 2021 values adopted in the January 2020 Energy Efficiency Order. Specifically, we recommend Rate Year budgets of $10,710,572 for KEDLI and $18,557,009 for KEDNY and Rate Year targets of 290,245 MMBtu for KEDLI and 457,309 MMBtu for KEDNY.

Q. How does the January 2020 Energy Efficiency Order change the recommendations regarding the use of unspent funds contained in the Panel's

initial testimony?

A. The January 2020 Energy Efficiency Order does not change the recommendations regarding the use of unspent funds in the Rate Year from our initial testimony. Although the January 2020 Energy Efficiency Order provides KEDLI with an additional $6.73 million and KEDNY with an additional $10 million in unspent NYSERDA EEPS gas funds, we recommend those additional funds be used to offset energy efficiency funds in future years rather than in the Rate Year.

Q. Do you have any comment regarding the appropriate balances of deferred unexpended EEPS, EEPS interest, ETIP, ETIP interest and NYSERDA Bill-As-You-Go Interest?

A. Yes. In our pre-filed direct testimony, we provided the balances of those accounts through June 30, 2019, based on information provided to us by the Companies. As a significant amount of time has passed, those balances should be updated before the Commission issues its final rate order in these proceedings.

Q. Do you recommend any updates to the balances at this time?

A. No.
Q. Why not?
A. While we have sought updated balance information from the Companies, at this time we have not received all of the necessary information and cannot verify it sufficiently to rely on it for a recommendation.
Q. Please explain.
A. We asked the Companies information request (IR) DPS-1082, in which we sought updated unspent fund balances for EEPS, EEPS interest, ETIP, ETIP interest, and NYSERDA Bill-As-You-Go Interest. The Companies provided a response to that IR on January 23, 2020. Due to the timing of the receipt of the IR response, we have not had time to verify the accuracy of the updated balances provided by the Companies. In addition the information provided in response to IR DPS-1082 caused us to ask a follow up IR, DPS-1085 on January 27, 2020, to have the Companies explain discrepancies between their responses to IRs DPS-1082, DPS-268 and DPS-893.
Q. Given that you are still waiting for information regarding the unspent funds balances, what do

you recommend at this time?

A. At this time, we recommend maintaining the unspent fund balances reflected in our initial testimony and maintaining the amortization amounts as reflected in Staff's initial Exhibit__SRRP-1, Exhibit__SRRP-2 and Exhibit__SESP-2. We are hopeful that we will have more clarity on this issue at the time of the hearing and will, if possible, provide further information at that time.

Q. Does this conclude the Panel's supplemental testimony at this time?

A. Yes.